NATIONAL UNIVERSITY OF SCIENCE AND TECHNOLOGY

FACULTY OF COMMERCE

DEPARTMENT OF ACCOUNTING

TAXATION II

CAC 4202

Examination Paper

June/ July 2022

This examination paper consists of 7 pages

Time Allowed: 3 hours

Total Marks: 100

Special Requirements: N/A

Examiner's Name: Dr FS Nkomo

INSTRUCTIONS

1. Answer all four (4) questions
2. Each question carries 25 marks
3. Use of calculators is permissible

MARK ALLOCATION

QUESTION	MARKS
1.	25
2.	25
3.	25
4.	25
TOTAL	100

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QUESTION 1(25 MARKS)

Mr Sithole farmed tobacco at Esigodini before diversifying into growing seed maize and ranching. His accounting year is up to 30 September, prior. He asks you to review his tax return for the last year of the multi-currency regime. For that year of assessment, he submitted the following accounts:

Livestock Account

Opening stock:		$	Sales:		$
10 bulls	@50	500	150	Heifers	62 750
200 cows	@$20	4 000	400	Steers	86 250
200 heifers	@$10	2 000	10	Donated steers	-
500 steers	@$20	10 000	20	Deaths	-
100 calves	@$10	1 000	Closing stock:		
120	Births	-	9	Bulls @$50	450
549	Purchases	110 000	250	Cows @20	5 000
1	Purchase-pedigree bull	10 000	180	Heifers @$10	1 800
30 calves	Inherited	-	540	Steers @ $20	10 800
	Foodstuffs, wages, etc	30 000	150	Calves @$10	1 500
	Surplus of Income/Expenses	1 200	1	Pedigree bull	150
1 710		168 700	1 710		168 700

Note:

The inherited cattle were from his father's estate and the previous Fixed Standard Value was $5. Their market value was $400 a head.

Statement of Profit or Loss for the Year Ended 30 September, 20xx

	$		$
Depreciation	2 650	Sales of seed maize	411 000
Staff wages and rations	33 000	Livestock profit	1 200
Legal fees	900	Sale of tilita clips	1 400
General expenses	14 000	Compensation for:	
Motor vehicle expenses	2 800	Loss of crops due to neighbour's fire	11 000
Fertiliser and seed	92 000	Storage shed destroyed by fire	2 400
Surplus of Income over Expenses	281 650		
	427 000		427 000

The following information is given:

1. Additions to assets were as follows:
   (a) New fencing erected : $11 000 which included fencing off an old mine shaft ($2 000) and fencing off his residence ($1000) → should be used for farming
   (b) Buildings:
   (i) Mr Sithole purchased the adjoining farm on which stood a maize showroom valued at $6 000, a farm dwelling which he used for his assistant- $7 000 (constructed in 1980), and fencing valued at $5 000.
   (ii) The following buildings were erected during the year:

Workshop – commercial building	$5 000
Garage – commercial building	$3 000
Cost of conversion of barns to maize storage	$6 000
Farm clinic (used 55% by his workers)	$80 000 – $10 000
House for nursing sister	$25 000 – $10 000

   (c) Motor vehicles:

Purchased tractor (new)	$150 000 – not PMV
Purchased Toyota sedan (new, engine capacity 1 488ccs)	38 000 – PMV limit to $10 000

2. The demolished shed destroyed by a fire cost $4 000 to erect 3 years prior
3. Sales of assets- Tractor: ITV at beginning of tax year $4 000) sold for $12 000. Originally cost $100 000.
4. The new Toyota sedan was used 10 per cent for private purposes. Of the motor vehicle expenses claimed, 50 per cent relate to this vehicle.
5. The income tax written down balances of assets ranking for wear and tear at the beginning of the tax year were:
   Farm improvements-$4 000, Original cost $10 000.

6. General expenses included:

	$
Bilharzia eradication	200
Construction of temporary roads	4 000
Re-aligning permanent road to fit in with contour ridge	1 500
Connection fee-ZESA	1 325
Employee's rain capes	500
Cost of refilling abandoned mine shaft	600
Advances to employees written off	170

   The balance was all clearly allowable
7. Legal fees were in respect of obtaining a seed maize quota

REQUIRED:

Advise him what his taxable income should have been. He does not claim the Special Initial Allowance

QUESTION 2 : 25 MARKS

Money (Pvt) Ltd carried on mining operations on a 'new mine' and had reached production stage by January 1, 2021.The company mines gold. The company submitted a return of income for the year of assessment, which contained the following information in support of the accounts:

(i) Surplus of income over expenditure was $96 million after charging:

Mining claims written off	$12 m
Depreciation	$20 m

(ii) Net sales of gold during the year $300m
After charging expenses of $70m

(iii) Capital expenditure during the year was as listed below:
a) Mining equipment $40m
This figure includes $12m replacement of a burnt boiler.
b) 6 mules purchased and used on the mine for general work $60m

c) Fencing
d) Railway lines $25m
e) New dwelling for major shareholder who works for the company $50m
$80m — limit to usd $10 000

(iv) Not included in the above surplus is the sale of old plant for $15m (original cost $2m) - recoupment

(v) The unredeemed balance of capital expenditure at the beginning of the year was $120m.

(vi) The estimated life of the mine is 14 years from the end of the current tax year. plus one year

REQUIRED:

a) Compute the taxable income of the company on the following assumptions:

(i) That the company claims capital expenditure in terms of Paragraph 4(4) of the 5 th Schedule to the Act (8 marks) New mine

(ii) That the company claims the capital redemption allowance on the Life of Mine basis making the election under Paragraph 6 of the 5th Schedule (9 marks)

(iii) Despite the statement at the beginning of this question, the mine is not a 'new mine', but claims current capital expenditure in terms of Paragraph 4 (2) of the Schedule

QUESTION 3: 25 MARKS

Mr Chisvo died on 30 June, 2020, and the residue of his estate was left upon trust. The residue was ascertained on 31 December, 2020. The trust assets comprised property and investments, and the accounts for the year ended 31 December, 2021 reflected the following income, net after deducting allowable expenditure:-

Zimbabwe dividends	$3 m
Zimbabwe interest	$5m
Foreign rents	$6m
Foreign interest	$1m
Total	$15m

Mr Chisvo was a Zimbabwean resident and his will was executed in Zimbabwe. The will provided that:

(i) Mr Dube, his physically disabled childhood friend, be paid $1m per annum out of trust income.

(ii) The testator's son, a Zimbabwean resident, be paid 50 % of the trust income remaining after payment of the annuity

(iii) After the death of both Mr Dube and the son the trust capital and accumulated income be paid to Mr Ncube, or should he not survive, to his children then living in equal shares.

REQUIRED:

Determine who is assessable on the trust income of $15 m.

QUESTION 4: 25 MARKS

Mr Tata is the proprietor of Electroliks Trading, which specialises in the manufacture of electronic equipment. He is a member of the Institute of Electronic Engineers. In the 2021 Tax year, his business returned a surplus of ZWL$5m, after charging the following expenses:

1. Attendance by him of a seminar at the University of the Witwatersrand for a week-$123 700, made up as follows:

Travelling from Bulawayo to Johannesburg	$10 000
Hotel expenses	$84 000
Registration fee	$20 000
Donation to the University	$2 500
Organised visit to the Kruger National Park	$7 200

The professional Electronic Engineering Council certifies that the seminar was suitable for his trade, and he has practiced in the profession for the past 5 years.

2. Electrical Engineering InstituteProfessional fees:5 600

Entrance fee	$2 000
Annual subscription	$3 600

3. A bursary of $200 000 to enable Mr Tata's 18 year old son to attend full-time studies in an electronics programme at the Bulawayo Polytechnical College.
4. Gratuitous pension $300 000: Mr Tata voluntarily paid $50 000 per month to an employee who had retired at the end of June, 2021. The

former employee received $10 000 per month as pension from the company pension fund for the same period.

5. Donations-

Zimbabwe Development Fund (Zimdef)	$111 500
ZAPT	$50 000
SPCA ✗ charitable donations	$10 000 allowable
Buy Zimbabwe Campaign – business motive	$7 500 – not allowable
Electronics Standards Association	$30 000
Wreaths for customers	$5 000
Zimbabwe Promotion Council	$3 000 – not allowable
	$6 000

6. Mr Tata is considering forming a company to take over his business, and wonders if the following expenses would be allowed for tax purposes:

Company formation	$40 000 not yes
Related stationery	$20 000
	$1200 000

7. Depreciation-

Income Tax Values of assets at 1 January, 2021 were:

Industrial Building $3 000 000 (cost $10m) – 0.025

Machinery and equipment $2 000 000 – 10%

Motor vehicles $10 00 000 – 25%

A retail shop was built for $5.96m, and put into use on 1 October, 2021

commercial building 5.96 × 0.025

REQUIRED:

Compute Mr Tata's Taxable income for the 2021 tax year

Donations allowed

- Health approved by minister of Health
- Research institutions
- Business motivated donations
- National Bursary fund
- Business subscriptions allowed

10 000 · 2 500 · 7 500 · 2 500 · 5 000 · 7500

10 000 / 3 000 / 7 000

3906 74

W & T – 5% straight line method

Movable – Reducing balance method